

But so, too, will your taxes and fees. Not to mention the two, maybe three, renovations you'll have done on the condo; the new floors ten years in, the new bathroom at fifteen, and the complete overhaul of the kitchen at twenty.

So let's say at the end of twenty-five years, your \$350,000 condo is worth \$750,000. Good investment. But let's subtract just the \$145,000 in interest and, say, \$100,000 in renos, and the real value is \$505,000. That doesn't include the years of fees and taxes, but that's the price of home ownership.

The goal, if you choose to rent, is to find not only a place that's cheaper, but one that allows you to invest the difference between what you're paying in rent and what your output would be *if you had carried that \$2,350 in monthly payments.*

Let's say you're lucky and find a one-bedroom with a den, utilities included, for \$1,600 a month (which goes up about 2 percent every year). Now, instead of putting that \$100,000 toward a down payment, you save and invest it. Let's also say you'll be ambitious, and on top of the initial \$100,000, you'll invest another \$750 a month, the difference between what it would have cost you to own at \$2,350 per month in mortgage payments and the \$1,600 in rent. Over the course of twenty-five years, your investments enjoy an average 4 percent return. At the end of that period, you will have earned almost \$700,000, a bit more than the equity you built in the condo, without the headaches and worry that come with owning a home. Mind you, those rewards are offset by the fact that every month, your rent helped build your landlord's equity, not yours. But if your rent payments fall in the same ballpark as a condo owner's fees and taxes, as well as increases to both, then you can see that with either option you're paying out money you'll never see again.

As a homeowner, you'll probably always come out ahead financially. But not by as much as people often think. And that victory comes at a cost that some people aren't willing to pay. If you're a savvy investor and a dedicated saver, renting can be a more suitable option than home ownership.